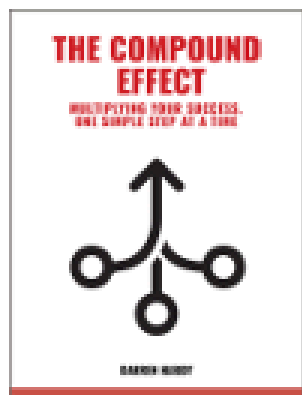




THE COMPOUND EFFECT

Multiplying your Success.
One Simple Step at a Time.

Darren Hardy

The Big “So What”



We're constantly surrounded by media and marketing messages that tell us we can buy secret formulas and shortcuts to overnight success. This book debunks those myths, and focuses on a simple but profound truth -Success comes from the small things that we do consistently, everyday, compounded over time. **Hardy breaks down how the Compound Effect works, and presents an action plan to harness it for truly exponential success.**

Introduction



Hardy's parents were divorced when he was very young, and he grew up with his dad as a role model - someone who lived a life of discipline and personal ownership. Hardy was trained to be an achiever from young, making a 6-figure income by the age of 18. Through his own experience and working with numerous successful people, Hardy found the Compound Effect to be the true magic behind massive success. Specifically:

- By 27 years old, Hardy had grown his own company to more than \$50million;
- As the ex-publisher of SUCCESS magazine, he had interviewed many thought leaders, business magnates and leaders, and reviewed huge amounts of success material; and
- As a speaker and trainer, he had personally trained thousands of entrepreneurs and seen their real-life case studies.

Old School Success, not Microwave Mentality

Most of us are constantly bombarded by sensational stories and promises of secret formulas that deliver

KEY QUOTES

"This book is about success and what it really takes to earn it."

"I'm going to teach you to harness the power of the Compound Effect, the operating system that has been running your life, for better or worse."

"It's time someone told it to you straight....There is no magic bullet secret formula, or quick fix."

"I'm a true believer in the Compound Effect because Dad made sure that I lived it, each and every day, until I couldn't live any other way if I tried."

"As a society, we have been deceived. We've been hypnotized by commercial marketing, which convinces you of problems you don't have and sells you on the idea of insta-fixes to 'cure' them. We have been socialized to believe in the fairy-tale endings found in movies and novels. We've lost sight of the good, old-fashioned value of hard and consistent work."

overnight riches, health, youth etc...so much so that we've lost sight of the simple fundamentals of success.

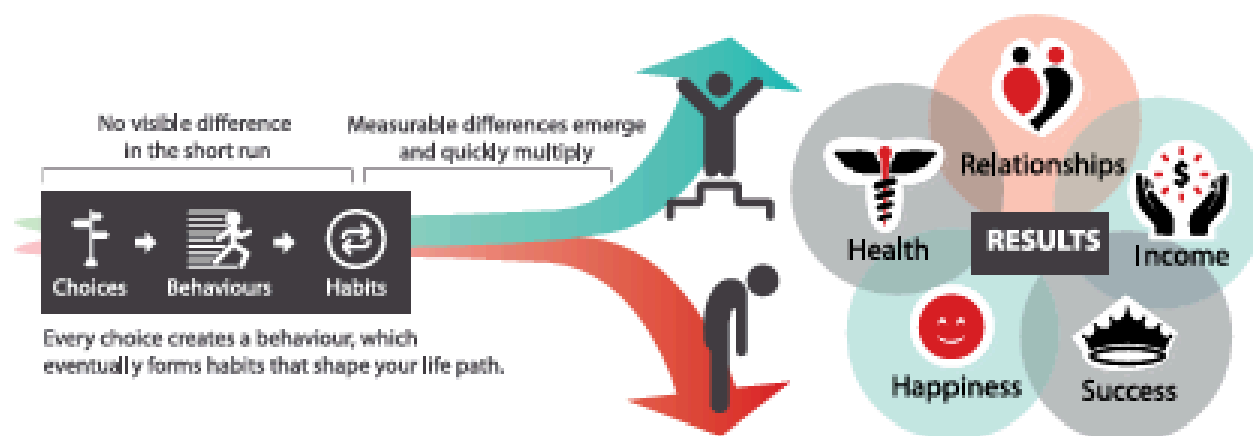
Success comes through boring, seemingly-inconsequential and sometimes-difficult daily disciplines, compounded over time. It doesn't just appear like our microwave meal, overnight mail, or 30min lenses (contrary to what we've been sold). That's why success usually skips a generation - when we experience long periods of prosperity, we tend to get complacent and stop doing what we used to do. So, **it's time to rid ourselves of the insta-results mentality, and go back to what really works**—the old-school work ethics that our grandparents valued and lived.



Understanding the Compound Effect

The Compound Effect is the "principle of reaping huge rewards from a series of small, smart choices". In a nutshell:

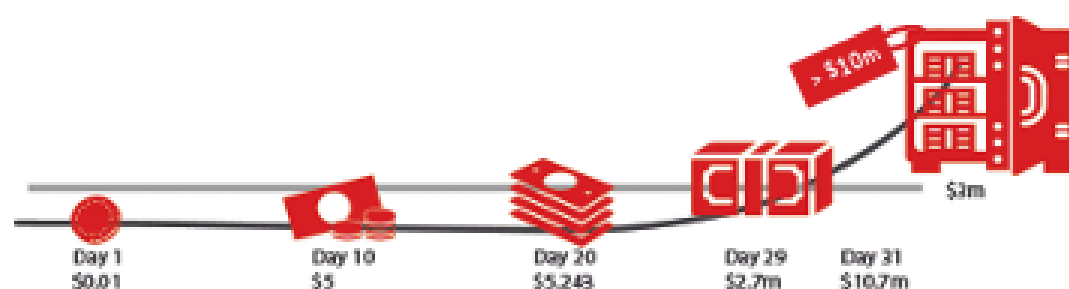
"Small, smart choices + Consistency + Time = RADICAL DIFFERENCE"



The Compound Effect in Action

Hardy presents 2 simple but powerful stories to illustrate this:

- The Magic Penny. Which is better - taking \$3 million in cash now, or a single magic penny that will double in value every day, for 31 days? Most people will choose the \$3m cash immediately. Indeed, if you took the penny, you'll have only about \$5,000 in 20 days. But, in the remaining 31 days, this amount will compound to \$10,737,418.24, way more than the \$3m cash.



KEY QUOTES

"I want you to know in your bones that your only path to success is through a continuum of mundane, unsexy, unexciting, and sometimes difficult daily disciplines compounded over time."

- **Three Friends.** Let's assume they share similar circumstances.
 - Larry keeps doing what he has always done.
 - Scott makes some small, positive changes daily e.g. reading 10 pages, cutting 125 calories by replacing soda with water, walking an extra 1,000 steps.
 - Brad makes a few poor choices e.g. buying a big TV (to enjoy his favourite shows), eating more dessert and adding 1 drink per week to his new bar .

At month 10, there are no perceivable differences. By month 25, measurable differences can be seen and by month 31, the differences quickly become stark. Scott loses 33.5lbs, gets a promotion and raise, and his marriage is thriving. Larry is exactly in the same space and feeling bitter about it. Brad, on the other hand, puts on 33.5lbs (weighing 67lbs more than Scott). He has been feeling sluggish and less confident about himself, became less productive at work and more withdrawn from his marriage, leading to unhappiness both at work and at home.

Such is the nature of The Compound Effect. There're no perceivable differences in the short run. But, once the visible and measurable differences emerge, they multiply quickly .



Choices → Behaviours → Habits

Every choice generates a behaviour, which eventually forms habits that reinforce our future choices. Hence, every decision affects your life path (e.g. deciding to eat that cookie, marrying your spouse).

Small Choices and Actions Matter

Our small, regular choices and actions may seem insignificant, but they compound over time:



Small steps, big outcomes. When we decide to watch an extra hour of mindless TV, or eat that extra packet of potato chips, we're actually starting the Compound Effect, in the negative direction.

Your small actions are practically invisible in the early stages,

KEY QUOTES

"The Compound Effect is always working. You can choose to make it work for you, or you can ignore it and experience the negative effects of this powerful principle."

"Each choice starts a behaviour that over time becomes a habit"

"You make your choices, and then your choices make you. Every decision, no matter how slight, alters the trajectory of your life."

"You've been sleepwalking through your choices...the decisions you think don't make any difference at all."

"The magic is not in the complexity of the task; (it) is in the doing of simple things repeatedly and long enough to ignite the miracle of the Compound Effect."

and no one will notice or celebrate them. But **eventually**, **there'll be a huge payoff that's out of proportion relative to the small individual actions**. For example, the #1 golf player may be only 1.9 strokes better than the #10 golf player, but earns 5 times the prize money.



Ripple effects & Future-value. Every \$1 you spend today is probably equivalent to \$5 or more in the future, because that same dollar could've been invested for compounded returns. Each decision also has ripple effects, like how Brad's extra desserts and sodas affected his energy levels, self-esteem, work and marriage. So, the next time you see a \$50 bargain item, ask yourself if it is worth \$250. **Use this future-value perspective for all areas of your life.**

Take Full Control



100% ownership. Once you **take full responsibility for everything that happens to you (including your responses, actions or inactions)**, you'll be free from victimhood and regain total control of your life.



Get "lucky". Being lucky or unlucky is merely a matter of perspective. If you look carefully, **there will always be something "lucky" about your circumstances** (e.g. living in a free society, having a roof over your head). Here are 4 ingredients to get lucky:

- Preparation, or your personal growth, which determine if you're ready to take advantage of the opportunities when they come;
- Attitude, or your beliefs and mindset, which determine if you can see the "luck" and opportunities around you;
- Opportunity, or something good that's happening; and
- Action, i.e. actually doing something to leverage it.

Luck = Preparation + Attitude + Opportunity + Action



Gratitude & Positives. **When you notice and recognize the positives, you respond differently and trigger more positive responses.**

- As a surprise Thanksgiving gift for his wife, Hardy spent a year journaling 1 thing a day that he appreciated about his wife. When he focused on her good points, he himself showed up differently in the marriage, triggering more positive responses from her.

KEY QUOTES

"Your life is the product of your moment-to-moment choices."

"You alone are responsible for what you do, don't do, or how you respond to what's done to you."

"Embrace the fact that you are freed by your choices, as long as you assume personal responsibility for them."

*"We are all lucky... The difference is when luck came my way, I took advantage of it."
- Richard Branson*

*"We are what we repeatedly do."
- Aristotle*

- If you are in a management or leadership role, take an hour each week to walk around, notice small things that people are doing right, and give your recognition or appreciation.

Habits Stick

Our conditioned responses from childhood form habits and routines which we do automatically without thinking. Habits are like saplings that grow into trees-the older they get, the harder they are to uproot. However, **they can be conditioned, and you can compensate for a lack of innate ability by cultivating the right habits.**



Putting the Compound Effect to Work

Start tracking

You can't change what you're unaware of. Tracking forces you to become conscious of your decisions and habits. Hardy challenges you to immediately pick the area that you want most to succeed in, then track everything you do relating to this area. This process is extremely tedious, but Hardy insists that if you want to see results, you must do it. What you learn about your own habits will transform your life.

Find your "why" and motivation.

The Compound Effect is a very simple concept, and **most of us know what we should or could do. Yet, we don't do it** because:

- The steps that we're taking now are so small that they don't feel significant, so we stop them assuming they don't matter;
- It takes time to see the payoffs, and we give up mid-way; and
- The instant gratification from a poor choice (e.g. eating that sugar-laden doughnut) is much greater than the intangible, rational long-term impact.

One of the solutions is to find your "why-power", i.e. the reason that will move and compel you to keep going, even when it's boring or difficult. This seldom comes from material goals, but from someplace deeper inside you.

KEY QUOTES

"Habits can be helpful-as long as they're good habits."

"(It) is about choosing to make up for what you lack in innate ability with discipline, hard work, and good habits."

"Step by step, day by day, your choices will shape your actions until they become habits, where practice makes them permanent."

"Tracking is my go-to transformation model for everything that ails me."

"This one action isn't easy, but it's simple and doable. So do it."

"Here's the bottom line: You already know all that you need to succeed...New or more information is not what you need-a new plan of action is."



Core values. These are what you stand for and act as your inner compass. **Once you've clearly defined your values, it's much easier to choose between conflicting options, and you feel happy and congruent about your decisions.**



Find your "enemy". Identifying an "enemy" (e.g. injustice, dishonesty) can **give you the resolve to face up to your challenges.** It's okay if your reason is not a noble one; what's most important is that it motivates you.



Goal-setting. **To create the Compound Effect you want, you must first know where you wish to go.**

- **Goal-setting is really about activating the Law of Attraction**—your mind filters out 99.9% of the sensory information you receive, so you can focus on what's perceived to be important. When you clearly define your goals, you open your mind and eyes to ideas, people, opportunities etc. that you may otherwise not see.
- Rather than focus on what you must do, **focus on the person you must become**, so you can attract the success you desire.

Shaping your Habits

It is as important to cultivate good habits as it is to stop habits that are hindering your goals.

5 Strategies to Eradicate Bad Habits

List down your top 3 goals, and then **list down every single bad habit that could be sabotaging your progress.** For each of these habits:



Identify your triggers. List down the who, what, where and when that are most associated with these bad behaviours;



Clean the house. Remove all cues and items in the house that are linked with these habits (e.g. throw out the junk food if you want to eat healthy, cancel the deals catalogue subscription if you want to cut spending);



Swap it. It's ideal if you can drop the habit altogether. Otherwise, you can replace them with something not

KEY QUOTES

"Forget about willpower. It's time for why-power...when the reason is big enough, you will be willing to perform almost any how."

"Your core values are your internal compass, your guiding beacon, your personal GPS."

"Something almost magical happens when you organize and focus your creative power on a well-defined target."

*"Success is something you attract by the person you become."
- Jim Rohn*

"What stands between you and your goal is your behaviour....what habits and behaviours do you need to subtract from and add to your life?"

"Habits and behaviours never lie. If there's a discrepancy between what you say and what you do, I'm going to believe what you do every time."

as harmful, or even good (e.g. swapping large chocolate bars for bite-size pieces, swapping potato chips for carrot sticks);



Ease in gradually. Some people prefer to take baby steps and ramp up over time (e.g. gradually reducing your alcohol intake);



Or **dive right in.** Others prefer to bite the bullet, go cold turkey and get it done once and for all (e.g. just stop alcohol immediately).

You can also **do a "vice check"**. Take anything that you're doing in moderation, but know isn't good for you (e.g. ice-cream, fried food, junk TV programs). Try to abstain from it for 30 days—if you find yourself struggling to abstain, then it is probably a habit worth kicking.

6 Ways to Cultivate Good Habits

Installing positive habits are like planting trees—it requires time, effort and nurturing.



Set yourself up for success. A new habit must be something you do daily, which means it has to work within your lifestyle. Make it easy for yourself e.g. pick a nearby gym, stock healthy food at home.



Add, not subtract. Rather than think of what you have to sacrifice or subtract (e.g. your ice cream or burger), think of what you can have or add in (e.g. your healthy salad and whole grains).



Be publicly accountable. Make your goals public, so you feel more committed and accountable to deliver them.



Have a Success Buddy, so you can hold each other accountable, work on new habits together, exchange learning points etc.



Use **friendly competition** to create additional motivation and inject some fun into the process.



Celebrate. Make time to celebrate and reward yourself for the small victories.

KEY QUOTES

"You will never change your life until you change something you do daily. The secret of your success is found in your daily routine."
- John C. Maxwell

Routines and Rhythm

Change is difficult, but necessary, if you want exceptional results that others don't get. The process will take time, effort, and you will certainly stumble. **To help yourself, build routines (the things you'll do daily without fail) and rhythms that support your new and habits goals.**



Identify the behaviour and habits you need to support your goals



Bookend your day, so you start and finish strong.

- Starting your day. Hardy shares his morning routine, which starts with a gratitude exercise, "sending love" or blessings virtually to others, thinking of his #1 goal, stretching for 10min, reading something positive and constructive for 30 min, focused work for 1 hour, calibration (review of key short and long term goals, before deciding on his 3 Most Valuable Priorities for the day).
- Ending your day. Hardy typically reviews his day, journals his new ideas or insights, read at least 10 pages of an inspirational book before going to sleep.



Keep things fresh, e.g. shake up your routine every week, month or year, to do something different and exciting. If you find that something no longer energizes you or delivers results, swap it.



Get into a rhythm. Besides your daily rhythms (built through your daily disciplines and routines), Hardy recommends that you design a weekly, monthly and quarterly rhythm schedule, i.e. items which you put into your schedule and honour with full commitment, like a date night with your spouse, a family day, new adventures or holidays. In the book, Hardy also demonstrates how he consolidates all the points above into a "rhythm register" so he can keep track of his new behaviours.



Be Consistent. Most people are pumped up at the start of an exciting new project or goal, dash too fast, burn out, and have to start the process all over again. Repeated start-stop cycles drain time and energy, breaks whatever momentum you may have built, and you may find yourself giving up after some time. Instead, take small, manageable steps that you can maintain consistently.

KEY QUOTES

"Change is hard. That's why people don't transform their bad habits....Ordinary is easy. Extra-ordinary is what will separate you from the crowd."

"The greater the challenge, the more rigorous our routines need to be."

"Developing a routine of predictable, daily disciplines prepares you to be victorious on the battlefield of life."

"Jim Rohn taught me that life is simply a collection of experiences; our goal should be to increase the frequency and intensity of the good experiences."

"Once all this is scheduled you no longer have to think about what you need to be doing... We've created a rhythm that gives us momentum."

"Remember, consistency is a critical component of success."

Momentum

Momentum, or “Big Mo” is one of the most powerful components behind success. Most of us have learned in Physics that objects at rest stay at rest (unless impacted by an outside force), while objects in motion tend to stay in motion (unless stopped by an outside force).

Overcoming the initial inertia is always the hardest, but once you have momentum, you’ll be hard to stop even if you put in less effort. But remember—momentum works both for and against you. Your bad habits, if left unchecked, can also spin out of control.

We’ve covered the key components to get the Compound Effect in motion. The key is to keep doing them consistently, until Big Mo kicks in.



Influences

Our thoughts and feelings, and eventually **our choices, behaviours and habits are all affected by 3 key sources of influence:**



Input (what we feed our minds). We need to protect our minds and be deliberate with what we put in them.

Rather than watch or listen to negative inputs and bad news (e.g. murders, conspiracies, economic downturns), **feed your minds with information of what's good, right or possible with the world** (e.g. stories of success, innovation, love). Hardy shares how he maintains a strict media diet:

- Filter the junk. Hardy doesn't listen nor watch any news. He only subscribes to selected RSS feeds with updates that are relevant to his interests and goals;

KEY QUOTES

“The most challenging aspect of the Compound Effect is that we have to keep working away for a while, consistently and efficiently, before we can begin to see the payoff.”

“Big Mo can catapult you into the stratosphere of success. And once you've got Mo on your side, there's almost no way anyone can catch you.”

“Miss only a couple weeks of anything...and you don't just lose the results those two weeks would have produced.... By slacking off for even a short time, you killed Mo.”

“Your choices, behaviours, and habits are influenced by very powerful external forces... you'll need to understand and govern these influences so they will support rather than derail your journey towards success.”

- Use travel time wisely. Most of us spend hundreds of hours on the roads. Simply by listening to instructional CDs or audios while on the go, you can effectively gain knowledge in practically any field of your choosing.



Associations. We become the average of the 5 people we spend the most time with (Jim Rohn), though we are often unaware of their influences. **The best way to improve our potential is to spend the bulk of our time with people who possess the traits we seek to acquire.** Start by listing down the people you spend the most time with, then the people you most admire—ask yourself if you need to change your associations.

You can take 3 steps to change your associations. First, **disassociate** with people who constantly drag you down or pull you away from your goal. Second, **limit your associations** e.g. don't spend 3 hours with someone you should only be spending 3 minutes with. Third, **expand your associations** by reaching out to people who have the qualities that you wish to grow in; join the organizations, clubs or networking groups where these people gather.

To push yourself forward, you can also explore these options:

- **Peak Performance Partner**. This is someone you trust to give you honest, objective feedback, including how you are showing up, what your strengths and areas of improvements are. You can also make yourself accountable to share your goals, corrective measures, insights with your partner.
- **Mentor**. The most successful people realize they are never good too good to have a mentor, and they invest in mentorship and coaching. Effective mentorship requires that you are open to be guided and moulded.
- Create your **Personal Board of Advisors**. Find positive people who have achieved the success you want, reach out to them, and ask for feedback and input.



Environment. Your environment is more than where you live—it **includes your physical, mental and emotional space**. Clutter, things that don't work, incomplete tasks/promises etc. all drain us and deplete our capacity

KEY QUOTES

"The great danger of the media is that it gives us a very perverted view of the world. Because the focus and the repetition of messaging is on the negative, that's what our minds start believing."

"You cannot hang out with negative people and expect to live a positive life."

"Determine the quality of life you want to have, and then surround yourself with the people who represent and support that vision."

"I have always found it interesting that the most successful people, the truly top performers, are the ones willing to hire and pay for the best coaches and trainers there are. It pays to invest in your improved performance."

"The dream in your heart may be bigger than the environment in which you find yourself. Sometimes you have to get out of that environment to see that dream fulfilled."

to reach our goals. Create a positive environment that supports your goals and growth, and do not tolerate anything that takes you away from them (e.g. disrespect, sloppiness).

Acceleration

It is inevitable that we will hit roadblocks on our way to success. However, these challenges are actually opportunities to break free from our old selves and old limits.



The key is to do your best, and then give *even more*. When you've hit your max or your wall, keep going just a little longer. That little bit more expands your limits exponentially –much like the last few days of the magic penny .



Go beyond expectations, by doing the unexpected, and doing *better than expected*. Your ultimate breakthroughs come from beating yourself, and/or others' expectations of you. That little extra multiplies your results manifold and delivers the "wow" .



Start NOW

The Compound Effect only works if you take action. Time is the essence, so start now:



The earlier you take action, the bigger the results will be. It's never too late to start, and no action is too small. A 0.5% improvement a week will compound to 2% each month, 26% a year and 1,000% in 10 years.



Start small, start slow. There's no need to take massive leaps:

- Start by *tracking just 1 category or habit for 1 week*. Then, extend to tracking 1 habit for 3 weeks. For example, if you want to save 10% of your earnings, but are struggling to make ends meet, start by tracking everything you spend. You'll definitely find items you can cut, reduce or substitute without a perceivable lifestyle loss.
- Start with *one small, easy task* that doesn't even stretch you–the key is to start the process, and let

KEY QUOTES

"You will get in life what you accept and expect you are worthy of."

*"There's a point in every race when a rider encounters his real opponent and understands that it's himself."
- Lance Armstrong*

"It's not getting to the wall that counts...The real growth happens with what you do after you're at the wall."

"It's the extra effort after you have done your best that is the difference maker."

"When you hit the wall in your disciplines, routines, rhythms, and consistency, realize that's when you are separating yourself from your old self, scaling that wall, and finding your new powerful, triumphant, and victorious self."

"You can do more than expected in every expect of your life."

"The key is to start NOW. Every great act, every fantastic adventure, starts with small steps. The first step always looks harder than it actually is.."

the *Compound Effect* kick in. For example, if you want to lose weight and become fit enough for a marathon, start by walking a few rounds daily for 1 week, then do a slow comfortable jog and gradually ramp up.

Other details to look out for in the book



This is a compact, easy-to-read book that's full of interesting examples to help you understand the *Compound Effect*, as well as inspiring stories of people who delivered exceptional results using the principles in the book (e.g. Steve Jobs, Lance ArmStrong, Oprah etc.).

Hardy urges you to take *immediate* action, and the book comes with a range of resources and tips for that purpose:

- Each chapter ends with "Action Summary Steps" that you could apply; and
- A set of useful tools are appended in the "Resource Guide", including worksheets for gratitude assessment, core values assessment, goals assessment, habits assessment, weekly rhythm planning, self-improvement, influence assessment etc.

You can also download these resources at the The Compound Effect website (www.thecompoundeffect.com).

About the Author



Darren Hardy is an American author, keynote speaker, advisor, and former publisher of SUCCESS magazine, with more than 20 years of experience in the personal growth and success industry. He has led three success television networks producing over 1,000 TV shows with famous thought leaders.

In December 2015, Hardy announced his decision to leave Success magazine as publisher to focus on new opportunities including speaking engagements, media appearances and private mentoring. Find out more about Hardy at www.DarrenHardy.com or access free mentoring tips at his website www.darrendaily.com.

KEY QUOTES

"This book isn't designed to entertain you; it is designed to help you get results. To get results, you have to take some action."

"Motivation without action leads to self-delusion."

"My core value in life is significance. My desire is to make a positive difference in other people's lives. So to accomplish my goals, I need you to accomplish your goals. It is your testimonial of life-changing results I'm after."

"Whatever I want in life, I've found that the best way to get it is to focus my energy on giving to others."